

21STCV21549 21STCV21549

County: los-angeles

Division: Civil Law and Motion

Department: 733

Hearing date: 2026-09-03

Motion: DEFENDANT BUREAU OF NATIONAL AFFAIRS, INC. D/B/A BLOOMBERG INDUSTRY GROUP'S MOTION FOR COSTS PLAINTIFF HEATHER KRANTZ'S MOTION TO TAX COSTS

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Case Number: 21STCV21549 Hearing Date: September 3, 2026 Dept: 733

SUPERIOR

COURT OF THE STATE OF CALIFORNIA

FOR

THE COUNTY OF LOS ANGELES

HEATHER

KRANTZ,

Plaintiff,

vs.

BLOOMBERG L.P.; BLOOMBERG BNA HOLDINGS

INC.; THE BUREAU OF NATIONAL AFFAIRS, INC. d/b/a BLOOMBERG INDUSTRY GROUP;

MICHAEL BLOOMBERG; STEPHEN CROSSMAN; MATTHEW DALEY; and DOES 1 through 20,

inclusive,

Defendants.

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CASE NO.: 21STCV21549

[TENTATIVE] ORDER RE: DEFENDANT BUREAU
OF NATIONAL AFFAIRS, INC. D/B/A BLOOMBERG INDUSTRY GROUP'S MOTION FOR COSTS

PLAINTIFF HEATHER KRANTZ'S MOTION TO TAX
COSTS

Dept. 733

8:30 a.m.

September 3, 2026

I.
INTRODUCTION

On
June 9, 2021, Plaintiff Heather Krantz ("Plaintiff" or "Krantz") filed a
complaint

against Bloomberg L.P.,
Bloomberg-BNA Holdings Inc., The Bureau of National Affairs, Inc. dba Bloomberg
Industry Group ("BNA"), Michael Bloomberg, Stephen Crossman and Matthew Daley,

alleging causes of action for (1) Gender Discrimination, (2) Retaliation, (3) Constructive Discharge, (4) Failure to Prevent Discrimination, Harassment and Retaliation, and (5) Aiding and Abetting.

On

February 28, 2024, the Court granted summary adjudication as to the second and fifth causes of action and the prayer for punitive damages. The Court denied summary adjudication as to the first, third, and fourth causes of action. Given the Court's conclusion, the Court also granted summary judgment in favor of Defendants Crossman and Daley.

On

May 11, 2026, jury trial commenced.

At

the close of Plaintiff's case, the Court granted BNA's motion for nonsuit on the failure-to-prevent-discrimination claim.

On

June 4, 2026, the jury returned with a fully defense verdict, finding that BNA did not take an adverse employment action against Plaintiff nor was Plaintiff subjected to working conditions that violated public policy.

On

July 13, 2026, BNA filed the instant motion for costs. On July 23, 2026, Plaintiff filed an opposition. On July 29, 2026, BNA filed a reply.

On

July 17, 2026, Plaintiff filed the instant motion to tax BNA's costs. On August 21, 2026, BNA filed an opposition. On August 27, 2026, Plaintiff filed a reply.

II.

LEGAL STANDARD

Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding. (Code Civ. Proc., § 1032(b).)

However, an award of costs in a FEHA action is governed by a different

statute. A prevailing defendant in a FEHA action may be awarded fees and costs only when the court finds the action was frivolous, unreasonable, or groundless when brought, or the plaintiff continued to litigate after it clearly became so. (Gov. Code, § 12965, subd. (c)(6).) “By making a cost award discretionary rather than mandatory, Government Code section 12965[(c)(6)] expressly excepts FEHA actions from Code of Civil Procedure section 1032(b)’s mandate for a cost award to the prevailing party.” (Williams v. Chino Valley Independent Fire Dist. (2015) 61 Cal.4th 97, 105.) In determining whether an action is frivolous, unreasonable, or groundless, the court must not “engage in post hoc reasoning by concluding that, because a plaintiff did not ultimately prevail, his action must have been unreasonable or without foundation. . . . Even when the law or the facts appear questionable or unfavorable at the outset, a party may have an entirely reasonable ground for bringing suit.” (Christiansburg Garment Co. v. Equal Employment Opportunity Commission (1978) 434 U.S. 412, 421-422.)

“Although section 1032, subdivision (b), also serves an important purpose, relieving a party whose position was vindicated in court of the basic costs of litigation, when those costs have not been increased by the inclusion of additional theories of liability to the primary FEHA claim asserted, the express public policy of Government Code section 12965, subdivision (b), controls.” (Roman v. BRE Properties, Inc. (2015) 237 Cal.App.4th 1040, 1062.)

III.

DISCUSSION

BNA seeks costs in the amount \$153,122.54, which BNA contends represents costs incurred only after its current trial counsel substituted into the case in early 2026, and the expert costs it seeks were incurred only after BNA served its section 998 offer. BNA brings the instant motion on the grounds that Plaintiff continued litigating her FEHA claims over the course of a three-week jury trial well after it was clear that those claims were frivolous, unreasonable and groundless. Specifically, BNA argues that by the end of 2025 at the latest, no reasonable plaintiff in her position could believe her claims retained potential merit, and thus BNA is entitled to costs. The Court disagrees and denies BNA’s motion.

First, at trial, BNA moved for nonsuit as to all

claims. The Court only granted BNA's motion as to the failure-to-prevent claim. The Court explicitly allowed the Gender Discrimination and Constructive Discharge claims to move forward, stating that it was "appropriate to submit those issues to the jury on the state of the evidence." The Court found that there were clearly triable issues after hearing Plaintiff's case and considering the state of Plaintiff's evidence at trial. This evidence included (1) comparisons between the compensation plans of female employees (including Krantz, Fong, and Heather Fairbanks) and male employees such as Eric Ortner, Matt Daley, Allen Cotton, and Darin Karpel (Clancy Decl., Ex. A at Tr. Exs. 431, 13, 16, 3, 15, 225, 478, 385, 93, 14); (2) internal communications of managers Crossman Daley viewing Plaintiff's impending maternity leave as creating a vacancy; (3) Plaintiff lacking a written signed compensation plan, assigned territory, and quote between December 2017 and October 2019 (id., Ex. C, Tr. at 86-88; Ex. A at Tr. Ex. 380, 382, 457); (4) Plaintiff's transition to a "helper" role upon her return from maternity leave (id., Ex. A at Tr. Exs. 487, 185, and 464); etc.

In reply, BNA cites *Rosenman v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro* (2001) 91 Cal.App.4th 859, 866, which declined "to establish a bright-line rule whereby a plaintiff who survives a motion for summary judgment or nonsuit can never be liable for attorney fees." However, the Court in *Rosenman* declined to adopt such a rule because it "would unjustifiably shield those plaintiffs who are able to raise a triable issue of fact, even though it be by means of fabricated evidence and false testimony." (Ibid.) There is simply no such evidence of fabrication present here. Furthermore, the Court in *Rosenman* actually considered that the plaintiff survived summary judgment and a nonsuit motion in its analysis reversing a FEHA employer attorney fee award. (Id. at pp. 869-873 ["To the contrary, as already noted *Rosenman* successfully defended the Firm's motions for summary judgment and nonsuit."]; ["She survived a nonsuit motion as well as a motion for summary judgment. . . . Although her case was not strong enough to succeed, *Rosenman* clearly had some basis to believe she might prevail at trial."].)

Nonetheless, Plaintiff does not solely contend that the "mere fact" that she survived summary adjudication and a nonsuit motion conclusively determines that continued litigation of her remaining claims were not frivolous, vexatious, or harassing. (*John Russo Indus. Sheetmetal, Inc. v. City of Los Angeles Dep't of Airports* (2018) 29 Cal.App.5th 378, 390.) Plaintiff has proffered

the valid evidentiary bases upon which she based the decision to continue litigating her remaining claims. (See above.) In finding that Plaintiff's action possessed merit at all stages of the case, the Court relies on the developed discovery record and the evidence introduced at trial, and will not engage in conducting backward-looking inferences which flow from the ultimate trial result.

Further, the fact that BNA served Plaintiff with an offer to compromise under Code of Civil Procedure section 998, which Plaintiff ultimately did not accept, does not translate to Plaintiff's action being frivolous, unreasonable, or groundless. (Gov't. Code § 12965(c)(6); see also *Arave v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (2018) 19 Cal.App.5th 525, 549–550, 552 ["There is a conflict between Section 998(c) and Section 12965(b) as applied in this case. Section 12965(b) precludes the trial court from exercising its discretion to award defendants expert witness fees because plaintiff's FEHA claims were not frivolous. However, Section 998(c) purports to authorize the trial court to exercise its discretion and award defendants at least a portion of their expert witness fees because they offered to settle for an amount greater than the verdict. We resolve the conflict in favor of the FEHA provision"].)

"An action is not frivolous simply because the plaintiff's FEHA claim failed." (*Baker v. Mulholland Security & Patrol, Inc.* (2012) 204 Cal.App.4th 776, 784; *Leek v. Cooper* (2011) 194 Cal. App. 4th 399, 421 ["[t]he fact that plaintiffs did not develop sufficient evidence...does not mean that the action had absolutely no basis in fact."].) The Supreme Court has cautioned lower courts to "resist the understandable temptation to engage in post hoc reasoning by concluding that, because a plaintiff did not ultimately prevail, his action must have been unreasonable or without foundation." (*Christiansburg, supra*, 434 U.S. at p. 422.) "This kind of hindsight logic," the Court continued, "could discourage all but the most airtight claims, for seldom can a prospective plaintiff be sure of ultimate success." (*Ibid.*)

Equipped with this legal backdrop and with the Court having sat through the entirety of the trial, the Court does not find that continued litigation of the action was "frivolous, unreasonable, or groundless."

IV.

CONCLUSION

Based on the foregoing, BNA's
motion for costs is DENIED. Plaintiff's motion to tax costs

is hereby DENIED as moot.

Dated this 3rd
day of September 2026

Hon. Gary D.
Roberts

Judge of the
Superior Court